

Institute of Actuaries of India

Subject SP2 – Life Insurance Principles

July 2022 Examination

INDICATIVE SOLUTION

Introduction

The indicative solution has been written by the Examiners with the aim of helping candidates. The solutions given are only indicative. It is realized that there could be other points as valid answers and examiner have given credit for any alternative approach or interpretation which they consider to be reasonable.

Solution 1:

The various factors that might have led to the differences in the reinsurance arrangements are:

A. Risk appetite

- There may be a low risk appetite in Company Y, leading to the low retention limit treaty being put in place.
- This low risk appetite is likely to have been a more important factor than Company Y giving profits away to the reinsurer through ceding too much business.

B. Level of experience / size of portfolio

- Company X might have been writing term assurance business for much longer than Company Y.
- The greater the experience of an insurer in writing a particular class of business, the more likely it is to be willing to retain more business in-house and the less it will want to cede to a reinsurer (assuming that the business is written on profitable terms).
- Company Y might have wanted to utilise the reinsurer's experience in respect of devising underwriting procedures or pricing in the past.
- Company X may have a much larger portfolio of term assurance business, in terms of lives covered, than Company Y.
- Variations in claims experience is likely to have a much lower impact on a company with a large portfolio of business, and so Company X could be more comfortable retaining a larger proportion of this risk.

C. External perception

- Company X might be more concerned about external perception, such as market analysts and rating agencies. This is particularly the case if it is listed on a stock exchange.
- It will want to avoid shocks to its results. However, it will also want to avoid giving away excess profits to reinsurers, which it should be retaining for its own shareholders.
- External parties are unlikely to view a company favourably if it passes most of its insurance risk to a reinsurer. Sensible reinsurance arrangements where the risk/reward trade-off have properly been considered will be well received by the market.

D. Source and type of business

- Company Y might have used less underwriting than Company X.
- Company Y might, in the past, have sold its business through channels producing more variable term assurance claims, such as through direct marketing.
- By contrast, Company X's business might have been written alongside mortgage applications for a large building society, in which case it would be expected that the claims experience would be relatively light, with a fairly smooth distribution of the likely size of claim. Company Y might have a less well diversified portfolio for example Group business or fewer product lines.

E. Other reinsurance

- The reinsurance arrangements that both companies have in place for their term assurance portfolios may be heavily influenced by the reinsurance arrangements that each company has in place for other lines of business.
- In the interests of simplicity and streamlining administration, the companies may have decided to have treaties such that the retention limit is the same for all types of without profits business. This may result in the companies each over/under-insuring for particular lines of business if they were each considered in isolation on their own merits.
- Company X might have other reinsurance treaties in place, such as excess of loss, stop loss and/or catastrophe treaties.
- Company Y might have been able to obtain much cheaper reinsurance rates.

F. Financial strength

- Company X has good financial strength, meaning that it is able to withstand some degree of variation in claims experience. If Company Y is weaker, this could be a factor leading to its lower retention limit.
- Similarly Company Y might be taking greater advantage of the use of reinsurance to reduce its solvency capital requirements or enable it to write more new business.
- Company Y might require financing reinsurance in order to support capital strain, and the reinsurer might require a lower retention in order to provide this.

G. Other factors

- Company X might have been more proactive in regularly reviewing its reinsurance arrangements than Company Y. Company X might have had a similar treaty to Company Y many years ago, but over time may have gradually increased its retention.
- Company Y might have closer relationships with the reinsurance company or might have more awareness of the financial benefits of reinsurance.

(0.5 marks for each relevant point, Total 10 marks)

[10 Marks]

Solution 2:

i)

- The experience assumptions used for future embedded value reporting should be a realistic estimate of future experience.
- The company would need to consider whether the experience in the last year was likely to be representative of future experience.
- In determining this, the company would want to consider the length of time over which the experience been worse than the assumptions. If there has been a sustained period of worsened experience this would give a stronger case for changing assumptions that if this was a one off.
- There may be a pandemic situation (such as COVID-19) which may have led to one off decrease in persistency. In such a situation, company may want to wait for the future experience to emerge before making assumption changes.
- The company would want to ensure that the data in the analysis was sufficient such that the result was credible. It would also want to consider how statistically significant the result was. If it was felt to be a random variance not an indication the underlying experience had worsened it may not want the change the assumption.
- In addition the company would want to look at a trend in experience over time before making a decision.
- There may also have been events that may have caused an impact on the experience over this period that may not be repeated, for example poor stock market performance, customer service issues, pandemic period, poor media coverage of the company or industry.
- The company could consider whether the experience is the result of a large tranche of business reaching its fifth policy anniversary (such as for ULIP policies) and thus leaving the surrender penalty period. It should investigate persistency by in-force duration.
- The persistency may be different across different products, hence the decision to change the assumptions may be made accordingly.
- The company would also need to consider the comparability of business over time. It is possible that business written in different time periods may be subject to different policy conditions which may in turn lead to different persistency experience.
- The company would need to consider the extent to which it is intending and able to implement mitigating action to improve persistency in future.
- The company would also need to consider the financial impact of the change.
- Whilst the company should use assumptions it feels are reflective of future experience it would need to consider the impact of the changes on its perception by the stock market and ensure that it can communicate the rationale for these effectively.

- The company should also consider the frequency with which it normally reviews and changes its assumptions, and how long ago they were last updated., and it should consider the impact of the experience information on other areas, such as assumptions used in pricing.
(0.5 marks for each relevant point, Max 5)

ii) First the company would want to try to understand the reasons for the increases in surrenders. It could also attempt to benchmark its experience against other companies to see whether it is an industry-wide occurrence or specific to this particular company.

The company should continue to monitor persistency experience carefully.

A. Customer relationship

- It may introduce some form of questionnaire for customers leaving to ascertain the reasons why.
- The company would want to try to improve the customer experience in order to improve their affinity with the company. It may try to improve its service levels to increase customer satisfaction, eg by acting to reduce turnaround times for particular tasks.
- Alternatively, it could consider outsourcing its administration in order to improve customer service levels.
- The company would need to consider the cost of making these changes and the time taken to implement them. If outsourcing is used then it must also consider quality control and legal issues.
- The company may offer enhanced services for high value customers, in order to protect these customers. It may increase or try to improve its communication to customers to create more of a relationship with them, eg by developing periodic magazines.
- The company would need to compare the cost of extra services to the capitalised value of the expected improvements in persistency to assess the case for such changes.
- It may offer alternatives to customers who request a surrender, e.g. partial surrenders, free switches.
- It may introduce proactive calling to customers at key points in the policy lifetime, e.g. 5 years, in order to highlight the benefits of maintaining their policy. It would however have to be careful that it was compliant with IRDAI rules regarding giving advice.
- If the experience is the result of a reputational problem then it should address that problem directly and/or improve its brand via PR activity.
- It could consider introducing a wider range of products in order to increase brand loyalty amongst its customers.
- A dedicated team can be formed to focus on renewals and revival of the lapsed policies.
- Specific product scripts can be used with information and explanation on potential loss in case the policy is discontinued and benefits in staying invested. Company can connect with all the policyholders through contact centres coupled with communication efforts through the distributor to revive their policies.
- Verification calls can be made to ensure that the policies issued to customers have been explained to them and meet their requirements. In addition to this, customers may be visited after the policy bond is dispatched, and the terms and conditions of the product can be explained once again.
- The policyholders can be advised on the non-conventional payment modes such as direct debit payment options during the new business/renewal stage to improve persistency.
- Customer awareness campaigns may be organized to increase the awareness amongst customers about the benefits of renewals/revivals.
- ULIP awareness letters via bit.ly link can be sent to applicable customers and reiterated periodically.
- Separate ULIP Desk may be created across in-house contact centers to address ULIP related concerns to avoid premium discontinuance.
- WhatsApp channel may be added for renewal communications for quick reference for consented customers

- Build an in-house renewal propensity model to predict payment propensity of customers basis their profile thereby focusing more on segments with lower expected persistency through further revamped customer communication channels/ frequency and effective channelization of resources
- Autopay Modes -ECS (Electronic Clearing System) and NACH (National Automated Clearing House) options for customers for automatic payment on due date to avoid delays.
- Other digital payment modes (like Paytm, Bharat Bill Pay) can be introduced to pay the due premium at customer's convenience.

B. Distribution

- The company may also analyse surrenders by distribution channels to understand if there are problems with particular policies or there have been mis-selling.
- It should consider improving its sales training if there is any possibility that higher withdrawals are the result of mis-selling.
- It may reduce commission levels on new business for the distribution channels. with poor lapse experience, or it could cease to do business with certain IFAs.
- Alternatively, it may introduce additional commission on its existing business to give the channels an incentive to keep business in-force. The company may however have to abide by the Regulations in this regard.
- It would also need to consider the cost of the commission payments and whether the improvements in persistency expected from implementing the action would exceed this.
- The company could introduce commission clawback.
- Generally, it would also have to consider to extent to which changes to commission structure and/or level would impact new business volumes.
- The company may also arrange discussions/seminars with different channels to discuss their experience.
- The company may also try to influence the actions of its own sales team, for example by including persistency measures in its sales team's remuneration. However, this may be difficult to execute as it may be met with resistance and the company would need to think about the possible loss of some of its sales support staff unhappy with the change.
- It should consider improving its sales training if there is any possibility that higher withdrawals are the result of mis-selling.
- The company might consider changing its distribution channel (e.g. to internet or direct) if it feels that there is an unacceptable level of churning activity in its current channel.
- Regular monitoring of the experience to identify the problem areas if any e.g. identification of branches where more attention needs to be paid to improve persistency.
- Dedicated zonal/regional/branch level resources deployed to improve the revival of the lapsed policies.

C. Product changes

- The company may look to improve its product offering to current customers in order to reduce the exposure to adverse persistency experience.
- It may look to incentivise customers to keep their policy in force. For example this may be in the form of a periodic cash loyalty bonus, a reduced AMC after a certain number of years.
- The company would need to weigh the cost of such incentives against the expected capitalised value of the enhanced persistency before implementing this.
- It may change its investment manager for any poor performing funds in a bid to improve investment returns.
- In addition, it may increase the number of fund options to give the customer more choice and the ability to move from poor performing funds.
- It may also make changes to its pricing of the product for future sales to alleviate the issues for future new business. In doing so, it could compare its product against those offered by competitors.
- It may introduce upfront charging to alleviate the capital strain from commission paid at outset.

- Alternatively, it may change the shape of its commission payments to a level commission stream paid each year subject to Regulations, for example as a percentage of AMC so it is related to the revenue received.
- It may also increase or extend surrender penalties such that the company is immune to early lapses. Note that it is unlikely that many of these options (e.g. increasing surrender penalties) could be implemented for existing business.
- The company would also need to consider its competitive position and the impact on its ability to sell business if it made such changes to product pricing.
- Ultimately the company would want to maximise its profits. It would want to ensure the impact on sales was not so great that its overall profitability was reduced. In this analysis it may wish to consider that some of its costs are in reality fixed and will still recur if no business is written.

[1 mark for relevant point, total 16 marks]

[Max 16]

iii) Additional risks associated with impaired life annuities

- Underwriting is the greatest risk for enhanced annuities, i.e, correctly estimating the extra annuity payment afforded by a particular medical condition.
- There may be a lack of available data on life expectancies relating to different forms of impairment/levels of smoking. This makes the pricing particularly difficult.
- If there are only relatively few cases with similar conditions then the company will not get the benefit from averaging of experience for large homogenous groups.
- Another risk is of substantial increases in life expectancy brought about by improvements in treatments for key conditions underwritten in the enhanced annuity market.
- The policyholder could stop smoking or introduce other lifestyle changes, e.g. embark on a fitness regime which would increase his/her life expectancy. This could invalidate the pricing basis.
- There is a risk of fraud and/or non-disclosure, e.g. lying about smoking habits or about the seriousness of a particular condition.
- There is a risk of regulatory change, outlawing the use of differential annuity rates.
- There could be bad publicity, if this move is interpreted as encouraging smoking.
- The company has not sold this business before, and if not enough business is sold, and marketing levels are not attained, then the development costs may not be covered.
- Anti selection could occur if the definitions of impairment are weak, leading to relatively healthy people fitting into the impaired category, or if people smoking only a few cigarettes take out the policy as a smoker.
- There is also a possible anti-selection risk if the company also continues to offer standard annuities as it will have to allow for the increased longevity risk of those taking up standard annuities, which on average may now consist of healthier lives.
- However, this will depend on the extent to which the company is already exposed to some anti-selection in its normal annuities due to competitor companies already offering impaired life annuities.
- If standard rates need to be repriced due to the increased longevity risk of those taking up standard annuities, volumes of those taking out those standard annuities may drop if they find cheaper rates with companies who do not offer impaired life annuities.
- There is a risk that the company under-estimates the impact of this anti selection on its normal annuities.

(0.5 marks for each point, 6 marks)

[27 Marks]

Solution 3:

i)

- The company may expect a higher return from fixed interest investments.
- Investing a high proportion in fixed interest investments may be compatible with the Company A's appetite for risk.

- The company may maintain a high proportion of investments in fixed interest in order to smooth bonus pay-outs, or limit bonus volatility
- The company only has a low level of free assets and therefore needs to conserve their value by investing a higher proportion in fixed interest stocks which are less volatile than other investments. This will be particularly important as the level of free assets will directly impact the company's ability to write new business.
- There may be regulatory benefits if holding higher levels of fixed interest investments reduce the value of statutory reserves by permitting a higher valuation interest rate. Mismatching regulations may also have an effect if they require additional reserves to be held against the contingency of a fall in equity market values.
- It would be normal to back the guaranteed benefits (the sum assured and existing declared bonuses less future premiums) with fixed interest assets.
- Because of the expectation of future premiums, policies recently taken out will have little or no guaranteed benefits on this basis. Therefore, the feature may simply be because the with profits portfolio is more mature than the industry average.
- A company with a history of higher than average reversionary bonus rates, or with higher basic sums assured for a given premium, would build up guarantees more quickly than the average.
- Marketing literature, other published statements, and past practice may have built policyholder expectations of the investment backing strategy for the with profits business.

(1 mark for each point, maximum 7 marks)

[Max 7]

ii)

- There may be restrictions on the type of assets a company can invest in;
- or the extent to which assets of a particular type can be included when demonstrating solvency;
- or the maximum counterparty exposure to an individual company or entity
- Solvency capital may have to be held in specific assets.
- There may be limits on the extent to which mismatching is allowed.
- There may be restrictions on the currency in which investments are denominated or on the territory in which the investments are located or marketed.
- There may be disclosure requirements
- Regulations may mean that features of the investments (usually the yield) affect the rate of interest that can be used to value the liabilities. This can affect the choice of assets if it is required to demonstrate a significant excess of assets over liabilities.
- There may be a requirement to establish mismatching. (resilience) reserves. The more a company invests in risky assets with the hope of a higher overall return, the greater the mismatching reserve is likely to be.
- The extent of surplus assets in excess of liabilities may affect the extent of investment in risky assets permitted.

(0.5 marks for each point, 4 marks)

[Max 4]

iii)

- Existing shareholders through rights issues
- Promoters infusing capital
- Policyholders — either from the with profits fund, retained surplus on non-profit or unit linked business,
- Through capital efficient new business i.e. with upfront charges.
- With products with no new business strain
- Re-insurers through financial re-insurance.
- Through issue of debt securities
- Through loans from banks
- Through issue of preference or ordinary share capital

(0.5 marks for each point, 3 marks)

[Max 3]

iv)

- Capital is required to demonstrate solvency to regulatory bodies.
- It is also of use to demonstrate strength to other institutions such as rating agencies and insurance intermediaries, which helps to secure new business.
- Capital protects insurers from the effects of adverse deviations in experience, for example, fluctuations on claims experience or unexpected costs.
- Most forms of new business require capital in their early years to cover the initial strains from expenses, commission and reserving.
- While excess capital enables the life insurance company to pursue more aggressive investment / provides investment freedom
- Aggressive pricing strategies (lower premiums to remove competitors)
- Holding excess capital also reduces the need for external financing and can help insurers retain profits.
- For with profits business, capital can be used to smooth bonuses or pay more than asset share on maturity.
- The company may use capital for investment in projects designed to create efficiencies in its business and consequent future profits.
- Additionally, it may be used to develop new products or sales channels, and
- Capital can be used in merger and acquisition activity.
- Can be used to attract new talents in the company.

(0.5 marks for each point, total 6 marks)

[20 Marks]**Solution 4:**

i) A net present value, NPV, is calculated when the profit signature or net cash flows under a contract or a group of contracts is discounted at a risk discount rate to produce a single figure.

In life assurance business profits emerge over a long period and are uncertain and the accounting approach to profit measurement of sale proceeds minus cost of sales would not be appropriate to use. According to economic theory, given a choice between two investments, an investor should choose the investment that gives the higher net present value.

Life insurance companies use net present values to assess the relative likely profitability of different contracts. They express it as a percentage of annual (or annualized premium) to calculate VNB (Value of new business); or express it as a percentage of present value of all the premiums and hence assess which contracts are likely to make most efficient use of the company's capital. This information is likely to form part of the rationale for deciding which contracts a company should sell.

Net present values can be calculated for other investment projects as well as life insurance policies. For example, they may help the company to choose between launching a new product and investing in systems to support existing products.

[Max 5]

ii)

- If the NPV is calculated for an anticipated volume of business, then it provides the life insurance company with a realistic assessment of the likely profits that will arise over and above those required by the provider of capital.
- The NPV is easy to calculate as it doesn't require an iterative approach.
- The IRR method determines the rate of return expected to be achieved on capital invested and this could be compared to the RDR to assess whether the return expected is satisfactory.
- However, it doesn't provide information regarding the monetary size of the expected returns (over and above those required by the capital provider). The company may require a minimum monetary return for a product launch, for example, to be seen as worthwhile.
- With the IRR method allowance for risk has to be made in the assumptions for the different elements of the cash flows.

- The discounted payback period method calculates how long it takes the life insurance company to recover its initial investment with interest at the RDR.
- But it doesn't provide information regarding the likely size of return that will arise over and above that required by the capital provider. In particular, the discounted payback period ignores the cashflows that arise once the capital has been repaid.
- Using the NPV method, the life insurance company can relate the NPV to indicators of the policy's worth to the company, such as market share or sales effort. For example, the NPV can be expressed as a percentage of the premiums expected to be paid under a contract or the commission associated with selling that contract. This type of analysis isn't possible using the other methods.
- There is only one net present value that can arise for a given profit signature and a given risk discount rate. For a given profit signature, the internal rate of return may not be unique (i.e. there may be more than one IRR), if there is more than one change of sign in the profit signature.
- If a policy makes profits from outset or has a very low capital requirement, the DPP and IRR methods may not result in a meaningful number or may not even exist. This is not true of the NPV method, an NPV always exists.

(1 mark for each point, maximum 8 marks)

[Max 8]

iii) The drawbacks of using net present values are:

- The NPV gives a deterministic and simplistic answer. It is valid provided that external factors have been considered appropriately. The other methods provide different information, which may be more relevant in particular circumstances. For example, a policy with same NPV may have different DPP.
- A NPV in itself gives relatively little information. It is therefore necessary to find some measuring standards by which results can be meaningfully compared. For example, it can be expressed as a percentage of present values of premium under a policy.
- The NPV may change in a dynamic economy. This is because the underlying RDR may no longer be the same.
- The comparison of two net present values, and choosing the one with the higher value, is only valid if each of the NPVs has been calculated at a risk discount rate appropriate for that contract. For example, if one product is perceived as more risky, the NPV for that product should be calculated using a higher risk discount rate.
- The NPV method says nothing about competition or the market in which the product is sold. A contract may have a very high net present value, but if it can't be sold, either because there are competitors with more attractive products or there is no demand for it, then the product will not sell. Calculating the NPV for an expected volume of business, based on realistic assumptions about future policy sales, can mitigate this.
- The same NPV can be calculated for unequal initial capital outlays. NPV needs to be related to capital outlay to create a profit margin. For example a company with limited capital resources may not be able to sell a capital intensive product, even if it generated a higher NPV than an alternative.

[Max 5]

[18 Marks]

Solution 5:

- i) The insurer needs to improve the assets position and reduce liabilities, this will improve capital position of insurance company.

It can be done in following ways-

1. Raising additional capital-

- a. The capital can be raised from parent company.
- b. From existing shareholders by rights issue if company is listed
- c. directly from the market by a new placement of shares

2. Change the investment strategy

- a. By moving to less volatile asset classes, the company may be able to reduce the total level of assets needed to back the liabilities.
 - b. By moving to asset classes that more closely match the liabilities, the company may reduce the need to hold a mismatching reserve (or additional solvency capital requirements).
 - c. By changing asset classes, the company may be able to increase the discount rate used to value the liabilities, leading to a reduction in the value of the liabilities, and an improvement in the solvency position of the company. [1]
 - d. The company could use derivatives to reduce market risk and thus the solvency capital requirements.
- 3. Change in products-**
- a. reducing the level of guarantees under the business sold (the regulatory requirement is typically more onerous where there are guarantees)
 - b. selling unit-linked versions of the contracts
 - c. as such contracts can be structured with high initial charges, or with variable charges, reducing the capital requirements.
- 4. Seek assistance from reinsurer-**
- a. Appropriate reinsurance may reduce the regulatory capital requirement
 - b. it will reduce the volatility of claims, and hence the required solvency capital is likely to reduce to make allowance for this
 - c. Financial reinsurance could be used to improve the solvency position as assessed on a regulatory basis or to reduce new business strain.
 - d. For example, the reinsurer could provide a loan to the insurer, with the repayments contingent on future profits on the reinsured block of business as such repayments may not need to be shown as a liability on a regulatory basis
 - e. although whether such an approach is acceptable depends on the particular regulatory regime.
- 5. Reduce the level of / close to new business-**
- a. Reducing the level of new business will reduce new business strain, since there will be a reduction in: initial expenses, eg sales commission, the need to establish cautious levels of regulatory capital when new business is written.
 - b. However, in the long run, as the existing business runs off, there may be diseconomies of scale.
 - c. In addition, by reducing the levels of new business written, the insurer is foregoing the potential for future profits.
- 6. Using other risk management tools-**
- a. Underwriting- Stringent underwriting will have claims in line with pricing assumptions
 - b. Claims underwriting- documents such as death certificate are collected to verify authenticity of claims, claims are paid as per policy terms and conditions
 - c. Data maintenance- Maintaining accurate, adequate data for pricing and reserving purpose. Robust data management system to improve data quality and reduce data errors.
- 7. Defer profit distribution-**
- a. The company may be able to do this by reducing the regular bonuses payable on its with-profit business, and aiming to pay more in terminal bonuses.
 - b. However, it should consider the need to treat customers fairly. The company may decide to hold back the payment of dividends.
 - c. However, shareholders may not be happy with this approach.
- 8. banking products** – including liquidity facilities, contingent capital and senior unsecured financing

[Max 10]

ii) Principles based regulation-

It means that the regulator moves away from reliance on detailed prescriptive rules. The regulator prescribes high level, broadly stated rules and principles to set the standards by which regulated

firms must adhere to while conducting the business. This regulatory regime gives the insurance companies freedom of action within broad based principles.

Examples-

1. Solvency II framework is a principle-based approach for calculating solvency capital for insurance companies.
2. The regulator in some countries do not regulate premium rates but it ensures that the premium rate is in line with benefits offered under the plan
3. The regulator prescribes minimum internal rate of return for with profit products.
4. The regulator prescribes expense ratio for the insurer as a whole instead of prescribing expenses limit for each category of business.
5. The insurance companies are allowed to launch the products under use and file process by complying with broader product regulations.

[Max 5]

iii) Risk Management Framework-

1. To modify risk management policy of the insurer.

- a. The risk management policy should be modified to identify, quantify and monitor the new risks arising from the changed regulatory regime.
- b. For example, in this regime, the insurer may launch the product in the market before a formal approval from the regulator, in such scenario, the compliance of products with broad principles will need to be ascertained in detail. Hence, the risk of compliance is to be identified and processes to set aside to address this risk.
- c. Accordingly, the risk management committee needs to incorporate risks that the company may face with changes in regulatory regime. The severity of these risk also to be defined and its continuous monitoring process needs to be documented in risk management policy.
- d. Risk register should give details of type of risk, its identification, its severity and monitoring.
- e. The frequency of monitoring, the responsibilities of the staff also need to be defined appropriately.

2. Strengthening Risk Management Committee-

- a. The composition and roles & responsibilities of risk management committee to be revisited and strengthened.
- b. The Chief Risk Officer needs to be qualified and conversant with the processes and functions of the insurance company which will ensure better understanding of risk holistically under principle-based regime.
- c. The frequency of meetings, reporting of minutes, discussion of the various risks in holistic way at organisation level to be strengthened.
- d. The top risks of the company like credit risk, liquidity risk (mismatch of assets & liabilities at various durations), reputational risk (number of complaints, frauds, etc.) needs to be monitored by the committee.
- e. Under the principle-based regime, the requirement towards reporting of risks and its mitigation to the board and adopting best practices with respect to risk management will further increase.

3. Strengthening risk management processes-

- a. The risk management culture to be further cultivated in the company to promote increased awareness to manage the risk arising in various functions across the organisation.
- b. The key risk indicators to be redefined for different risks and they are to be maintained and monitored to be consistent with new regime. E.g. number of complaints may lead

to reputational risk, increase in lapse may be due to unsatisfied customers or mis selling.

- c. Grass root analysis to be done to update internal processes and to have effective controls in place.
- d. The defined principles are to be incorporated in daily activities.

Governance Framework-

1. Modification of internal processes-

- a. With changed regime, the internal operating processes need changes. E.g., as the insurer may launch the product in the market before a formal approval from the regulator, a new process to review the new product, its capital requirement, development of administration system should be in place. In this case the insurer may set-up a product review and approval committee which will be responsible for the governance around the product design and launch. The roles and responsibilities of such committees to be defined.
- b. The internal audit functionality and internal controls to be redefined and strengthened further to meet the broader principles.
- c. The internal processes regarding pay-outs made to vendors / intermediaries should be strengthened to avoid fraud and misappropriation.
- d. The internal standard operating procedure for various processes to be formulated/strengthened. The internal audit should check the compliance of processes with underlying broad principle/guidelines in place.

2. Corporate Governance-

- a. The board of the company is responsible for approval of products and market conduct issues of the insurer; board needs to follow top down approach effectively for risk management.
- b. The risk management function should not be a box ticking exercise, instead board should monitor risk management processes and controls more closely.
- c. The suggestions / recommendations of board to be followed by the insurer.
- d. All the policies and its amendments are to be approved by board and maintained up to date.
- e. The board of the insurer needs to keep in place group wide risk management framework and governance structure.

3. Committees-

- a. The committees need to work independently and adhere to roles & responsibilities in line with principles set by regulator for various activities.
- b. The conflict of interests to be avoided i.e. one person handling a number of conflicting positions in various committees.
- c. The minutes of meetings to be maintained and it should not be a box ticking exercise.
- d. Compliance with the broad principles to be checked and closely monitored.
- e. If any deviation is observed, it needs to be corrected.

**[Max 10]
[25 Marks]**
